Flying Through Life in First Class

For saving to actually occur, it must be made a priority. But for many young adults just starting their careers, there are other more pressing priorities for their money. The first time accumulation of things is especially important. There is the need for furniture, cars, business clothes, and shoes. The cost for these things can add up, making it difficult to find money to save.

Pete and Heather Howard were both in their mid-twenties. Their savings excuse was "You don't expect me to invest now, do you? Remember I've only been working a few years. Things will be looking up soon and then I'll be able to invest. Right now I have to dress well in order to make a good impression. Wait until I'm a little older. There's plenty of time."

Pete and Heather Howard were very concerned about making a good impression. In fact, the Howards would never have been caught dead in coach class on an airline. They only dined at restaurants which made the top ten list in whatever city they happened to be in. Their friends were dazzled by their stories of exotic vacations to far away destinations or spur of the moment weekends jaunts to Paris or London. Their clothes, cars, house, furniture, and everything else that they owned seemed to be top of the line.

Both Pete and Heather had high-paying professional jobs, having graduated from college as a lawyer and an engineer. Even so, their friends who made comparable salaries wondered how the Howards managed to afford this high quality of life while their budgets didn't stretch nearly as far. Their friends came to the conclusion that they must have invested very wisely to have the money to afford all these things. The reality was quite different.

While Pete and Heather's friends invested their money in anticipation of their retirement and also put money aside in an emergency fund, the Howards never saved any of their income.